25901173 **A**

Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR EXAMINATION March 2026

Fourth SEMESTER

Discipline Specific Elective (DSE) - MG4DSECOM204 - TRENDS AND INNOVATIONS IN BANKING

(2024 ADMISSION ONWARDS)

Duration: 1 hour 15 minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. Decrease in CRR means [U] / [CO1]

   a). easier credit flow b). difficult to avail credit

   c). tighter liquidity d). less money with bank

2. IBPCs with risk sharing transfer: [U] / [CO1]

   a). Operational risk only b). Market risk only

   c). Credit risk of the underlying loan d). Currency risk

3. What is one key implication of CRR in bank liquidity? [U] / [CO1]

   a). Banks gain more cash for lending

   b). RBI locks a portion of deposits as cash reserves, reducing available liquidity for loans

c). Increases interbank lending d). Boosts deposit growth

4. Working capital ensures [U] / [CO1]

a). Credit discipline b). Liquidity

c). To bridge the time gap d). All of the other options

5. The main objective of the Banking Ombudsman Scheme is to: [U] / [CO1, CO4]

a). Increase bank profits b). Regulate stock market

c). Provide quick and inexpensive grievance redressal d). Control inflation

6. What is the primary purpose of para-banking activities for a bank? [U] / [CO1]

a). To increase interest income b). To reduce regulatory compliance

c). To generate non-interest/ fee-based income d). To replace core deposits

7. The drawee is the person who: [U] / [CO1]

a). Draws the bill b). Accepts and pays the bill

c). Discounts the bill d). Endorses the bill

8. e-Kuber, RBI's CBS system, was launched in _____ [U] / [CO2]

a). 2010 b). 1990

c). 1998 d). 2012

9. UPI stands for _____ [U] / [CO2]

a). Unique Payments Interface b). Unified Payments Interface

c). Unique Payment Intimation d). None of the other options

10. A bank offers low-interest loans for solar panel installations. This can be considered as a practice of _____ [U] / [CO2]

a). digital banking b). green banking

c). digital revolution d). cloud banking

11. IFSC code is a _____ code [U] / [CO2]

a). 10-digit b). 11-digit

c). 15-digit d). 12-digit

12. Which of the following is a type of cloud deployment model? [U] / [CO2]

a). Core banking b). Public cloud

c). NEFT d). RTGS

13. Anomaly detection in banking is mainly related to: [U] / [CO2]

a). Marketing b). Fraud detection

c). Branch expansion d). Recruitment

14. The payment limit for contactless transactions in India is ₹ [U] / [CO2]

a). 2000 b). 5000

c). 3000 d). 500

15. _____ is a digital infrastructure/ interface that acts as an intermediary between a merchant and a customer to facilitate payments through routing payment authorisation, encryption of data, communicating transaction response/ request, etc. [U] / [CO2]

a). NEFT/ RTGS b). Payment system

c). Payment gateway d). IMPS

16. Neo banks often issue: [U] / [CO3, CO6]

a). Cheque books b). Virtual debit cards

c). Postal drafts d). Passbooks

17. In a typical bancassurance model, a bank acts as a... [U] / [CO3, CO6]

a). direct insurer b). reinsurer

c). intermediary or agent d). policyholder

18. Card cloning means: [U] / [CO3, CO4]

a). Destroying a card b). Creating duplicate card using stolen data

c). Changing PIN d). Blocking card

19. A foreign branch is: [U] / [CO5]

a). Separate legal entity b). Legally part of parent bank

c). Owned by host country d). Cooperative bank

20. Higher RWA leads to: [U] / [CO5]

a). Higher CRAR b). Lower CRAR

c). No change d). Zero capital

21. LC charges are borne by: [U] / [CO5]

a). Exporter only b). Importer only

c). As agreed in contract d). RBI

22. Which of the following committees function under BIS? [U] / [CO5]

a). Basel Committee on Banking Supervision b). World Trade Committee

c). IMF Committee d). WTO Dispute Panel

[1x20 = 20]

Part B

MCQ Questions

Answer any **25** questions

Each question carries **2** marks

23. UPI is promoted by [U] / [CO1]

a). RBI b). DICGC

c). NPCI d). YONO

24. The merger of Oriental Bank of Commerce took place with: [U] / [CO1, CO4]

a). SBI b). PNB

c). Canara Bank d). Union Bank

25. Consider the following statements, Assertion (A) and Reasoning (R). Choose the correct alternative. Assertion (A): The Ombudsman system helps in reducing the burden on civil courts. Reason (R): It provides an alternative and speedy mechanism for resolving banking disputes. [U] / [CO1, CO4]

a). Both A and R are true, and R is the correct explanation of A b). Both A and R are true, but R is not the correct explanation of A

c). A is true, but R is false

d). A is false, but R is true

26. Consider the statements: Statement 1: RBI can order winding up of a banking company under Section 38.Statement 2: This is done to safeguard the interest of depositors and maintain banking stability. [U] / [CO4]

a). Only Statement 1 is correct

b). Only Statement 2 is correct

c). Both statements are correct

d). Both statements are incorrect

27. Consider the following statements regarding GIFT City and IFSC: 1. GIFT City is India's first operational International Financial Services Centre (IFSC). 2. The regulatory authority for IFSC in India is the Reserve Bank of India (RBI). 3. IFSC units are treated as persons resident outside India for certain FEMA transactions.Which of the above statements are correct? [U] / [CO4]

a). 1 only

b). 1 and 3 only

c). 2 and 3 only

d). 1, 2 and 3

28. Which RBI function directly influences the money supply in the economy? [U] / [CO4]

a). Custodian of foreign exchange

b). Controller of banking recruitment

c). Clearing house for banks

d). Controller of credit through quantitative tools

29. Under SARFAESI, the borrower can make representation or objection within: [U] / [CO1, CO4]

a). 15 days

b). 30 days

c). 45 days

d). 60 days

30. The primary parties involved in a bank guarantee are: [U] / [CO1]

a). Drawer, Drawee, Payee

b). Lender, Borrower, Guarantor

c). Applicant, Bank, Beneficiary

d). Buyer, Seller, Broker

31. Direct Benefit Transfer (DBT) via Financial inclusion reduces leakages by: [U] / [CO1]

a). Using intermediaries

b). Delaying payments

c). Manual distribution

d). Transferring subsidies directly to Aadhaar-linked accounts

32. FinTech disruption in credit markets primarily challenges traditional banks because: [U] / [CO2]

a). It increases statutory liquidity requirements

b). It reduces the role of deposit mobilization in lending

c). It disintermediates banks through platform-based credit matching

d). It eliminates monetary policy transmission

33. Which of the following risks is specifically higher in co-branded credit card arrangements compared to regular credit cards? [U] / [CO2]

a). Reputational risk due to partner brand failure

b). Liquidity risk

c). Sovereign risk

d). Currency convertibility risk

34. A bank adopts cloud computing; what benefit does it gain? [U] / [CO2]

a). Higher on-premise hardware costs

b). Scalable data storage allowing quick handling of peak transaction loads

c). Data isolation from internet

d). Fixed capacity limits

35. Which risk is commonly associated with blockchain-based payment systems? [U] / [CO2]

a). Double-spending risk in poorly secured networks

b). High dependency on physical currency

c). Zero cybersecurity threats

d). Guaranteed regulatory approval

36. LPG subsidies are directly credited to Aadhaar linked bank accounts of customers. Which technology is utilised here? [U] / [CO2]

a). AEPS

b). NUUP

c). ABPS

d). CBDC

37. Biometric ATMs support financial inclusion by: [U] / [CO2]

a). Enabling access without literacy requirements

b). Restricting access

c). Eliminating banking services

d). Increasing paperwork

38. A predictive model can help banks in: [U] / [CO2]

a). Forecasting customer churn

b). Printing cheque books

c). Cleaning data centers

d). Reducing ATMs

39. Arrange the following in the correct sequence, based on cheque clearance process under CTS 2010. [U] / [CO2]

(1) The electronic image and cheque data are transmitted to the CTS Clearing House.

(2) The drawee bank examines the cheque image, verifies the signature, and checks the availability of funds.

(3) The collecting bank scans the cheque and captures its image along with MICR details using a secure scanning system.

(4) Settlement is carried out electronically through the National Clearing Cell of the Reserve Bank of India.

(5) The Clearing House sorts the cheque images and forwards them to the respective drawee banks.

a). (2), (3), (1), (5), (4) b). (3), (1), (5), (4), (2)

c). (3), (1), (5), (2), (4) d). (3), (2), (1), (5), (4)

40. What is main advantage of bancassurance to the customers? [U] / [CO3, CO6]

a). wider market reach b). enhanced brand image

c). convenience and accessibility d). infrastructure utilization

41. Open Banking in India started with what? [U] / [CO3]

a). RBI ban b). Account Aggregator framework by RBI

c). Only cash d). Foreign banks only

42. What is the role of APIs in collaboration? [U] / [CO3]

a). Enable secure data exchange b). Restrict fintech access

c). Replace customer consent d). Block innovation

43. RBI organizes sandbox testing in: [U] / [CO4]

a). Random sectors b). Thematic cohorts

c). Geographic zones only d). Individual bank projects

44. Consider the following statements: Assertion (A) and Reasoning (R). Choose the correct alternative. [U] / [CO3, CO6]

Assertion (A): Payment banks are transaction-oriented banks that mainly provide services such as deposits, withdrawals, and remittance facilities. Reason (R): Payment banks are not permitted to provide credit facilities or issue credit cards, and hence they focus only on payment and transaction services.

a). Both A and R are true; R is the correct explanation of A

b). Both A and R are true, but R is not the correct explanation of A

c). A is true, but R is false

d). A is false, but R is true

45. In doorstep banking, which of the following is not a financial transaction? A. Cash delivery B. Cheque deposit C. TDS certificate delivery D. New chequebook request [U] / [CO1]

a). Options A and B only

b). Options B and C only

c). Options A, B and C

d). Options C and D only

46. How long does transferring money via Neo Bank take? [U] / [CO3, CO6]

a). Seconds via app

b). Days by mail

c). Hours in queue

d). Weeks processing

47. BoP deficit indicates: [U] / [CO5]

a). Surplus exports

b). More foreign inflows

c). More outflows than inflows

d). No trade

48. In a confirmed LC, an additional guarantee is provided by: [U] / [CO5]

a). Importer

b). Advising Bank

c). Confirming Bank

d). Negotiating Bank

49. OBUs are generally exempt from: [U] / [CO5]

a). Income tax

b). CRR/SLR

c). GST

d). Customs duty

[2x25 = 50]

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MCQ Questions

Answer any **20** questions

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   b). RBI locks a portion of deposits as cash reserves, reducing available liquidity for loans

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2. UPI stands for _____ [U] / [CO2]

   a). Unique Payments Interface

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3. The drawee is the person who: [U] / [CO1]

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